

the test. Take a considered decision that you can own. Not investing in equity is not an option. You may as well understand the road rules of investing.

Also, remember that we created an emergency fund and bought medical and life covers so that you can put your money to work for the long term. We've taken away the need for keeping money liquid and building a safety net under your money box. Your money box can take the risk that equity brings in the short term now.

So as I make the case for equity, ***investors need to remember that if they gave the same respect to equity that they give to real estate, it would be a smoother ride with fewer costs.*** Of course, equity investing means that you need to follow the rules.

And rule no. 1 is this: If you want to punt, go to the casino. Getting an equity exposure is about following the rules of holding a portfolio that gives you index-plus returns and not about betting the kitchen sink on a hot tip. If you do that, don't cry later. What's the best way to buy equity? Mutual funds. That's the next chapter.

You need an equity exposure rather than direct stocks. The best way to expose your money to equity is through mutual funds. Understand that there is a way to get safe equity returns, but you need a plan and you need to manage both greed and fear. **You are doing OK if ...**

1. you understand that equity cooks over time and you need at least seven to ten years of patience to see returns;
2. you understand that you will not double your money overnight, but will get a return that is between 12–15 per cent a year;
3. you understand that mutual funds are the best way to give your money an equity exposure;